

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC., CONSOLIDATED CHASSIS
MANAGEMENT, LLC, CMA CGM S.A., COSCO
SHIPPING LINES CO. LTD., EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982,
HAPAG-LLOYD AG, HMM CO. LTD., MAERSK
A/S, MSC MEDITERRANEAN SHIPPING
COMPANY S.A., OCEAN NETWORK EXPRESS
PTE. LTD., WAN HAI LINES LTD., YANG MING
MARINE TRANSPORT CORP., AND ZIM
INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

JOINT STATUS REPORT

Complainant Intermodal Motor Carriers Conference of the American Trucking Associations (“IMCC”) and Respondents Ocean Carrier Equipment Management Association, Inc. (“OCEMA”), Consolidated Chassis Management, LLC (“CCM”), CMA CGM S.A. (“CMA”), COSCO Shipping Lines Co. Ltd. (“COSCO”), Evergreen Line Joint Service Agreement, FMC No. 011982 (“Evergreen”), Hapag-Lloyd AG (“Hapag-Lloyd”), HMM Co. Ltd. (“HMM”), Maersk A/S (“Maersk”), MSC Mediterranean Shipping Company S.A. (“MSC”), Ocean Network Express Pte. Ltd. (“ONE”), Wan Hai Lines Ltd. (“Wan Hai”), Yang Ming Marine Transport Corp. (“Yang Ming”), and Zim Integrated Shipping Services (“ZIM”) (collectively the “Parties”) have conferred and submit this Joint Status Report pursuant to the July 23, 2024 Order (“Order”).

I. **CCM Rules**

IMCC's Position:

CCM Pools¹ has posted Version 4.8 of its Operations Manual, effective May 1, 2024. Version 4.8 revises Sections 5.5 and 5.7 of the Manual to permit unilateral reassignment of usage on merchant haulage (“MH”) moves to an equipment provider other than the default provider without the need for ocean carrier or equipment provider consent. IMCC welcomes these revisions to CCM’s Operating Manual.

IMCC’s position is that there is sufficient record evidence to extend the Commission’s Order with respect to CCM nationwide, including with respect to any pool not yet in existence.² Given that CCM’s Operations Manual operates nationally so that any revisions are not limited by geographic location, such an Order would not be unduly burdensome. Further, the Presiding Officer’s Order, affirmed by the Commission, has already found that these challenged practices impose detrimental effects on IMCC’s members and the shipping public. I.D. 37; Order Affirming Initial Decision and Remanding for Further Proceedings (“Remand Order”) 43-45, 54-55. Respondents have been unable to offer any justification for these practices in the four geographic areas. I.D. 38-39, 46; Remand Order 45-46.

Should Respondents contend that market conditions justify these detrimental effects in any other geographic area, it is Respondents’ burden **now** to articulate justifications that are bona fide and not created post hoc in response to litigation. Order at 4 (“Respondents must identify

¹ Designated UIE Pools LLC pursuant to amendment 19 of the CCM Pool Agreement, No. 011962.

² IMCC respectfully notes that contrary to Respondents’ current objection, in fact **all** parties agreed to focus discovery on the four geographic areas to limit the burdens of discovery, which would fall primarily **on Respondents**. See Joint Status Report (Mar. 1, 2021) at 1 (“the Parties have conferred and propose limiting certain categories of initial Party document discovery to the following geographic areas . . .”).

factors that would justify not applying the findings regarding the CCM chassis pools in the Remand Order to all of the CCM chassis pool locations”); *cf. also United States v. Microsoft*, 253 F.3d 34, 58-59 (D.C. Cir. 2001) (per curiam) (procompetitive justification must be “nonpretextual”).

IMCC further intends to seek an order that requires CCM to give IMCC 60 days’ notice of any revision to the Operations Manual pertaining to MH chassis choice, to allow IMCC to evaluate whether such a revision would comply with the Commission’s Order, and if not, to seek appropriate relief.³

Respondents’ Position

The July 23, 2024 Order directed that the parties address eight subjects in a Joint Status Report. Relevant to CCM Chassis Pools, the Order directs the Respondents to “identify factors that would justify not applying the findings regarding the CCM chassis pools in the Remand Order to all of the CCM chassis pool locations” and “if Respondents seek discovery to distinguish the CCM chassis pools in other locations from the locations already decided, they must explain how those factual differences would be relevant to the analysis in the Initial Decision and Remand Order.” With respect to the CCM chassis pools, the I.D. found the following practices to be unlawful: “(1) enforcing or applying CCM Rule 5.7, as written, to designate an exclusive chassis provider for merchant haulage; and (2) contractually linking

³ As IMCC will further explain in its brief, Respondents’ voluntary cessation of particular conduct that may recur in the future does not render IMCC’s current requested relief moot. See [*Friends of the Earth, Inc. v. Laidlaw Environmental Services \(TOC\), Inc.*, 528 U.S. 167, 189 \(2000\)](#). Further, new pools that would be subject to new filed agreements, and not the CCM Pool Agreement (or a replacement agreement to operate multi-contributor pools), are not subject to this action.

carrier haulage rates to merchant haulage volume when the motor carrier does not have a choice of chassis providers.” Order Affirming citing I.D. at 42, 46-47, 61.

Thus, as Respondents understand it, the question posed by the Presiding Officer with respect to “CCM Rules” (which heading was selected by IMCC) was whether the finding that enforcing or applying CCM Rule 5.7, as written, to designate an exclusive chassis provider for merchant haulage is unlawful should be extended to other CCM chassis pool locations. IMCC’s position that the Presiding Officer should “extend the Commission’s Order with respect to CCM nationwide, including with respect to any pool not yet in existence” therefore distorts and exceeds the scope of question posed by the Presiding Officer.⁴

As to the question of the need for additional discovery to distinguish other CCM chassis pool locations from those that were the subject of the I.D. and what factual differences would be relevant to the analysis in the Initial Decision and Remand Order, Respondents’ position is that such discovery is necessary and was always contemplated as such prior to entry of any findings with respect to other markets.

As the Presiding Officer noted in the I.D., Respondents have taken the position throughout this proceeding that the “fact that discovery was ultimately limited to certain locations – at IMCC’s vehement insistence – does not mean those locations are appropriate proxies for every port and location in the United States’ and further that ‘the record plainly establishes that there are significant geographic and market differences in the many different

⁴ Additionally, Respondents note that while the Operations Manual was generally applicable to the cooperative chassis pools managed by CCM based on its incorporation by reference in the respective use and contribution agreements between each of the pools and their participants, it does not apply by its own force to any CCM managed pool. For example, the relevant chassis use agreements for SACP 3.0 do not incorporate the Operations Manual by reference and therefore usage in SACP 3.0 is not governed by the Operations Manual. Thus, IMCC’s contention that the Operations Manual “operates nationally” is incorrect and Respondents therefore disagree with IMCC’s position that the ruling should be extended to apply to any future pools (which may or may not be governed by the terms of the Operations Manual).

chassis supply regions in the United States”’. I.D. at 44.⁵ In response to this point, the Presiding Officer noted that “[t]his decision focuses only on these four geographic markets, so if other markets have other relevant justifications or factors, those can be raised at a later date.” *Id.*

Simply stated, the further discovery which is required will depend upon the ports and terminals which IMCC identifies. It is not sufficient to generally state that the rulings in the I.D. should be applied on a national basis because operations and chassis provision models differ in each region. Rather, IMCC must be specific as to the locations that are to be brought within the I.D.’s coverage and, to the extent locations can be grouped point to evidence in the record that supports such grouping (i.e., factual material that demonstrates they are sufficiently similar to each other and the locations analyzed in the I.D.).

The Presiding Officer’s July 23, 2024 Order does not require Respondents to justify non-application of the ID to the entire country. The Order merely asks Respondents to identify factors that would be relevant to such a justification. Contrary to Complainant’s contention that Respondents offer only vague allegations of market differences, Respondents have specifically identified different chassis provision models and the availability of trucker-owned wheels as specific factors which need to be considered. However, these are not necessarily the only factors. Any determination of reasonableness requires consideration of all relevant factors, which may differ by location.

⁵ It would be a manifestly unjust and unfair result if Respondents were now deprived of the opportunity to engage in full discovery with respect to other markets. As the Presiding Officer will recall, Respondents objected to the limitation on discovery imposed upon them early in this proceeding noting that, “A dispute does exist with respect to the geographic scope of discovery...Respondents’ counsel do not agree with Complainant’s interpretation of the “geographic areas” referenced in the March 1 Report, which Respondents understood only as a reflection of the agreement to facilitate Complainants’ request for prioritizing “initial Party” document discovery, not a limitation on all discovery in the proceeding, and certainly not with respect to non-Party discovery.” Dkt. No. 52, Joint Status Report, June 1, 2021, Respondents’ Position, p. 4. In response to this concern, the Presiding Officer ruled that the limitations were imposed in the interest of aiding the parties in resolving the proceeding and to control costs in the early stages, but was explicit that “[t]his would not waive a party’s ability to take needed discovery at a later date.” Dkt. No. 54, Amended Scheduling Order, June 9, 2021, p. 2 (emphasis supplied).

Furthermore, without further discovery and factual development, the basic findings, assumptions, and analysis underlying the I.D. cannot simply be assumed to be applicable in every location. Without limitation, and only as an illustration of the need for further discovery with respect to the functioning of other markets, fundamental to the Presiding Officer's holding with respect to the geographic markets under consideration in the I.D. was the finding that:

In most situations, motor carriers do not have a viable alternative to paying the price the designated IEP imposes. Chassis are a necessity and substituting trucker-owned wheels is generally not economically feasible. These restrictions also effectively shut out potential chassis provider competitors or at least markedly impede their ability to compete for motor carriers' merchant haulage business.

Respondents believe that further discovery would reveal that, in other locations beyond those previously reviewed, motor carriers have *clearly viable alternatives* to paying the price imposed by a designated IEP, substitution of trucker provided wheels *is* economically feasible (and, in many instances/locations, actually the prevailing model), and that, as a result, the restrictions complained of *do not* markedly impede the ability of competing chassis providers to compete for merchant haulage business.⁶ If correct, IMCC would not be able to make out a prima facie showing of unreasonableness with respect to those markets on the same grounds proffered with respect to the four test markets.

In short, before the I.D. can be applied to any additional market or location in which CCM pools may operate (let alone on a nationwide basis as requested by IMCC), Respondents must be afforded the opportunity to engage in discovery and to develop the record with respect to

⁶ In this regard, Respondents note that even setting aside its contention that the I.D.'s findings were contrary to facts in the record relating to the market as it existed at that time (which position Respondents do not waive and reserve the right to raise in any subsequent challenge of the I.D.), for the reasons explained herein, the I.D.'s factual findings with respect to alternatives available to motor carriers are clearly no longer an accurate description of the chassis market even in the four test locations, let alone other locations. Not only should the holdings in the I.D. not be extended to other locations, the continuing viability of the I.D. even with respect to those initial locations is dubious given that the fundamental assumptions made in the I.D. have been overcome by changes in the market.

the functioning of each subject geographic market and any ruling as to those markets must consider the unique characteristics/models with respect to provision of chassis in those regions.

Further militating against application of the findings with respect to Rule 5.5 and 5.7 in the I.D. to other locations, in addition to the fact that the rules have been amended to eliminate the issues raised in the Complaint, as further explained below, all cooperative interoperable pools owned by OCEMA and managed by CCM are in the process of permanently winding down operations. Thus, the issues raised in the Complaint are accordingly moot, and no further rulings are required. Because new usage has ceased and the applicable rules have been deleted, the FMC should resist IMCC's request for a more expansive opinion that would be advisory in nature.⁷

II. **Ocean Carrier Contracts and Practices**

IMCC's Position:

The Initial Decision, upon a comprehensive record and affirmed by the Commission, prohibits the ocean carrier Respondents from undertaking several forms of conduct found to violate the Shipping Act. IMCC intends to seek an Initial Decision that extends the Decision nationwide, beyond the four geographic regions, with respect to the following issues:

- Elimination of current and future ocean carrier contract provisions with Intermodal Equipment Providers ("IEPs") that restrict the unilateral decision of a motor carrier to select the chassis of its choice in MH movements;

⁷ Respondents also reject IMCC's assertion that an initial decision should be entered to require CCM to give IMCC 60 days' notice of any revision to the Operations Manual pertaining to MH chassis choice. There has been no finding that existing contractual notice periods are unreasonable or inadequate (nor is this even at issue in this proceeding), that IMCC (who itself is not a user of any pool or party to any contract with a pool) or its membership require special protection as compared to any other participant in the pool, or that there is even any remotely realistic risk of an amendment resulting in a violation of the Shipping Act (as noted above, to the contrary, the pools to which the Operations Manual applies are all in the process of terminating operations permanently).

- Elimination of current and future provisions and practices in or relating to ocean carrier contracts with IEPs linking MH chassis volumes with carrier haulage (“CH”) prices; and
- Elimination of current and future provisions and practices that effectively lock the motor carrier’s usage to the ocean carrier’s default chassis provider for MH movements, including at wheeled terminals.

See Order at 2-3 (practices found to violate the Shipping Act include, *inter alia*, “the contractual linkage of CH price with MH volume; [and] the designation of IEPs by Respondent ocean carriers for MH when motor carriers cannot unilaterally select a chassis provider of their choice” (citing I.D. 56-57)); Remand Order 72 (prohibiting “practices that lock in the motor carrier to the chassis provider the ocean carrier selected”).

The scope of the remanded proceedings governs contracts and conduct, not markets. Given that the factual record already demonstrates that ocean carriers engage in the challenged conduct throughout the United States, a nationwide order is justified and appropriate.

First, prohibitions relating to contracts between ocean carriers and IEPs should be extended nationally. The record is replete with multimarket or nationwide contracts between ocean carriers and intermodal equipment providers containing provisions that the Presiding Officer’s Order, affirmed by the Commission, has found to violate the Shipping Act. Significantly, the Presiding Officer, affirmed by the Commission, has found that contracts containing “default” IEP designations are not unlawful, a holding that IMCC observes is national in scope. Conversely, the I.D. found, and the Commission has affirmed, that contractual provisions restricting motor carriers from unilaterally using a chassis from a provider other than the default IEP or linking CH pricing to MH volumes are unreasonable as a matter of law.

Second, the factual record supports extending nationwide a restriction on ocean carrier conduct that is illegal in the four geographic markets. For example, ocean carriers permit the economic burden of procedures and practices at wheeled intermodal terminals to be borne by motor carriers if they desire to switch away from the ocean carrier's default IEP on MH moves. These burdens include flip charges, trucker delays in requesting and obtaining a flip, and administrative burdens. The Presiding Officer, affirmed by the Commission, has already prohibited ocean carrier "practices that lock in the motor carrier to the chassis provider the ocean carrier selected" for MH moves. Remand Order 72, I.D. 56-57. Moreover, published procedures at wheeled terminals giving rise to burdens on choice appear to be systemwide (i.e., nationwide), avoiding the need for inquiry on a terminal-by-terminal basis.⁸

IMCC respectfully submits that the Presiding Officer should reject any effort by Respondents to engage in expensive and time-consuming discovery regarding the same illegal ocean carrier conduct outside of the four geographic areas. Rather, the Presiding Officer's Order, affirmed by the Commission, has already found these challenged practices to impose detrimental effects on IMCC's members and the shipping public. I.D. 40, 42-43, 46; Remand Order 44-45. IMCC's position is that the extensive factual record has already been sufficiently developed to meet its burden to extend the Order nationwide. Respondents have been unable to offer any worthy objective to justify these detrimental effects in the four geographic areas. I.D. 38-39, 46; Remand Order 45-46. Should Respondents argue that market conditions justify these detrimental effects in any other geographic area, it is Respondents' burden **now** to articulate

⁸ IMCC only challenges **Respondents'** conduct and contracts, not those of the railroads, that interfere with motor carriers' unilateral selection of a chassis of its choice in an MH move. For the same reason, Ports that provide chassis, such as Charleston and Norfolk, are not subject to this litigation.

justifications that are bona fide and not created post hoc in response to litigation. *Cf. Microsoft*, 253 F.3d at 58-59 (procompetitive justification must be “nonpretextual”). Respondents fail to do so in this Joint Status Report. Moreover, as IMCC will further explain in its briefing, Respondents’ attempt to flip the script, and shift *their* burden to proffer justifications for the challenged conduct outside the four markets, must fail. The Presiding Officer should not credit Respondents’ vague assertions of “different market conditions.” Respondents have had every opportunity to proffer worthy objectives for the conduct found to have detrimental effects on the shipping public, and have failed to do so. If Respondents cannot even identify what they seek to discover, then there is no need for it. Respondents should not threaten burdensome and unnecessary discovery with the hope of preventing IMCC from obtaining the relief necessary to enjoin nationwide unjust and unreasonable conduct. Further, to the extent there exist issues within the four geographic areas regarding these ocean carrier contract terms and practices, they are properly subject to the ongoing enforcement investigation and, as enforcement matters, fall outside the scope of this proceeding. *See* FMC Special Investigation No. 24-02.⁹

Respondents’ Position

The heading of this Section, which was determined by IMCC, appears to address two topics which were specified in the Order.

First, it appears to address the Order’s directive that Respondents are to identify factors that would justify not applying the findings regarding the CCM chassis pools in the Remand Order to all of the CCM chassis pool locations. (Order, p. 4, ¶#4). Specifically, IMCC appears to be commenting on the second aspect of the I.D.’s holdings with respect to CCM pools in

⁹ Contrary to the implication of Respondents’ footnote 10, the conduct of specific ocean carriers at the terminals of a particular railroad would be subject to an enforcement proceeding and so outside the scope of this Remand.

Savannah and Memphis – finding it unlawful to contractually link carrier haulage rates to merchant haulage volume when the motor carrier does not have a choice of chassis providers. Order Affirming citing I.D. at 42, 46-47, 61. For the reasons explained above, Respondents reiterate the need for further discovery prior to the application of the findings in the I.D. to any market beyond the four test locations. In particular, Respondents believe it would be made abundantly clear in discovery that in most, if not all, locations beyond the four test locations, motor carriers essentially *always* have a choice of chassis providers. As also discussed above, any extension of the I.D. to other CCM pool locations would seem unnecessary given that the OCEMA owned and CCM managed cooperative interoperable pools are in the process of terminating permanently rendering the issues moot and because such an opinion would be inappropriate as it would amount to an advisory opinion.

Secondly, the heading selected by IMCC appears to include the Order’s directive that IMCC clarify its position with respect to relief requested for non-CCM pools outside of Chicago, Los Angeles/Long Beach, Memphis and Savannah. The Order further directs: “More broadly, the parties should both address other geographic regions, outside of those covered entirely by CCM pools, and indicate whether any issues raised in the complaint about those regions need to be addressed.” (Order, p. 5, second full ¶#2).

As a threshold matter, no region is “covered entirely by CCM pools” because a variety of alternative chassis-provisioning options are available to users in all markets in which CCM pools operate(d). Moreover, no two locations share the same chassis provisioning model in the wake of the closures of the Midwest Consolidated Chassis Pool (MWCP), Mid-South Consolidated Chassis Pool (MCCP) and pending Denver Consolidated Chassis Pool (DCCP) closure.

Respondents reject IMCC's request that the rulings from the I.D. be extended to all geographic regions throughout the country. IMCC should first be required to specifically identify the ports and terminals to which the ruling should be extended. Once those locations have been identified, it will be necessary to conduct discovery with respect to the question of whether the factual conclusions relied upon in the I.D. are applicable to any of those locations and how the legal principles enunciated in the I.D. apply in the context of the identified market. In that regard, as noted above, the I.D. concluded that, in the identified regions, the result of designating an exclusive provider by an ocean carrier was that the motor carrier was held captive to that designation and unable to select a provider of its choice. It cannot simply be assumed that other locations operate similarly and, indeed, Respondents believe discovery as to other regions would clearly demonstrate that they do not.

Respondents also submit that at many inland rail locations outside of the four test locations (and which even within the four test locations were not the focus of the I.D.),¹⁰ the ocean carrier is held responsible by the rail operator for prepositioning chassis to receive its containers (and subject to financial penalties for its failure to do so), independent of whether the container is moving under MH or CH terms. In other words, at those locations, the ocean carrier is the sole party held responsible for ensuring an adequate supply of chassis to receive its containers. This is a significant differentiating factor that would require additional discovery and consideration.

¹⁰ In this regard, Respondents reject IMCC's contention that an order should be entered requiring "[e]limination of current and future provisions and practices that effectively lock the motor carrier's usage to the ocean carrier's default chassis provider for MH movements, including at wheeled terminals." The record, briefing of the parties, and I.D. are devoid of analysis/findings specific to wheeled terminals or even any meaningful examination of what practices or provisions such an order would apply to (the few sentences on this issue included above in IMCC's response appears to be its most in-depth discussion of these points to date). Thus, further discovery and factual development is required prior to consideration of any such order.

Additionally, Ports such as the Port of Charleston and the Port of Norfolk also operate chassis pools with models that are different than any of those considered in the I.D. In both locations, chassis are provided directly by the ports. This is quite obviously another illustration of the differences between operating models that exist throughout the country, and the record is devoid of any significant factual development as to how these port run pools operate, and in turn, how such operations might impact the issues considered in the I.D. Thus, it would be wholly inappropriate to extend the I.D. on a broad brush basis rather than to allow the parties to engage in further discovery and opportunity to brief the issues relevant to any given market followed by issuance of a decision that considers those issues specifically. Importantly, FMC precedent is quite clear that reasonableness is a factual issue which must be determined at each geographic location. *Investigation of Free Time Practices- Port of San Diego*, 9 F.M.C. 525, 547 (FMC 1966)("It is by application to the particular situation or subject matter that words such as 'reasonable' take on concrete and specific meaning."); *All Marine Moorings, Inc. v. ITO Corporation of Baltimore and The Maryland Port Administration*, 27 S.R.R. 539, 545 (FMC 1996)("Our decisions have emphasized various commercial, physical and competitive factors affecting our view of what is reasonable in these cases.").

Under Section 556(d) of the Administrative Procedure Act and FMC regulations (46 C.F.R. section 502.203), the burden of proof with respect to unreasonableness is on the proponent of the order. Nothing in the ID shifts that burden to Respondents with respect to matters not covered by the ID, which covers the application of contracts to and conduct in, specific markets. See, e.g., February 13, 2024 Order Affirming Initial Decision and Remanding for Further Proceedings at 31 (certain of the challenged practices relate to certain locations).

III. **Pool of Pools**

IMCC's Position:

The Initial Decision, affirmed by the Commission, has ordered the necessary relief in the Pool of Pools. Thus, any remaining issues are more properly subject to the ongoing enforcement investigation. See FMC Special Investigation No. 24-02.

The Presiding Officer has also asked the parties to answer whether “the analysis” pertaining to the Pool of Pools “would apply to any other geographic regions.” Order at 5. IMCC’s position is that the Pool of Pools is unique, and that the analysis pertaining to it does not apply to any other current pool.

Respondents' Position

Given that the Order states that the ALJ will not be addressing compliance, Respondents generally agree that there are no remaining issues raised in the Complaint with respect to the Pool of Pools requiring further proceedings and that the Pool of Pools operates under a unique model.¹¹

IV. **Reparations**

IMCC's Position:

IMCC itself does not seek reparations for the injuries suffered by motor carriers from Respondents’ illegal conduct. IMCC cannot make any representations for third parties, including motor carriers, who may be entitled to assert their own claims for reparations flowing from Respondents’ Shipping Act violations.

¹¹ Respondents would reiterate the points made in FN4 as they also apply to the Pool of Pools. Namely, the I.D.’s factual findings with respect to alternatives available to motor carriers in the Pool of Pools region are clearly no longer an accurate description of the chassis market there, let alone other locations. Not only should the holdings in the I.D. not be extended to other locations, the continuing viability of the I.D. even with respect to the Pool of Pools is dubious given that the fundamental assumptions made in the I.D. have been overcome by changes in the market.

Respondents' Position:

Respondents agree that IMCC has not sought reparations in this proceeding.

V. **Factual Clarifications**

IMCC's Position

The Presiding Officer has asked the parties to provide additional information and clarification as to (1) the currently operating CCM chassis pools and the locations served by those pools; (2) if Savannah is currently operating pursuant to SACP 3.0, whether other locations are also utilizing SACP 3.0, and if so, to describe how those changes may limit a motor carrier's ability to choose its own chassis provider for MH. Order 4. IMCC respectfully submits that Respondents are in the best position to provide these additional details.

Respondents' Position:

The Order directed the parties to confirm the list of currently operating CCM chassis pools (which Respondents understands to be a reference to the cooperative interoperable chassis pools owned by OCEMA's subsidiary UIE Pools LLC and managed by CCM) and identify the location of those pools. (Order, p. 4, ¶#3) Respondent advises that all such pools have notified participants that the pool will be terminating and are now in the process of final wind-down. These include the prior iteration of the South Atlantic Consolidated Chassis Pool (referred to as SACP 2.0), the Midwest Consolidated Chassis Pool, the Mid-South Consolidated Chassis Pool, and the Denver Consolidated Chassis Pool.

The Order directed Respondents to identify whether Savannah is currently operating pursuant to SACP 3.0, whether other locations are also utilizing SACP 3.0, and if so, describe those changes with regard to the issues in this case, specifically any limitations on motor carriers' ability to choose their own chassis provider for MH. (Order, p. 4, ¶#4) Respondent advises as follows:

SACP 3.0 is a descriptor for the current operating model for the UIE Pools LLC owned/CCM managed pool operating in the South Atlantic region as of October 1, 2023. In response to the above, SACP 3.0's coverage includes the Savannah region. As detailed in the South Atlantic Multiport Chassis Pool Agreement, FMC Agreement No. 201391, the geographic scope of the pool includes "Marine Terminals located in the States of Florida, Georgia, and North Carolina, and Inland Intermodal Terminals located in the States of Alabama, Mississippi, Florida, Georgia, North Carolina, South Carolina, and Tennessee...". However, SACP 3.0 is not the sole source of chassis in the South Atlantic region and, in fact, trucker-provided wheels now constitute between 40-60% of gate moves in the South Atlantic region at locations at which SACP 3.0 operates.

Under the SACP 3.0 model, all users of chassis from the pool (ocean carriers, motor carriers, BCOs (beneficial cargo owners), etc.) contract for such usage directly with a single-provider, CCM. Usage in SACP 3.0 is not subject to the terms in the UIE Pools Operations Manual. Instead, rates and pool rules are set forth in a uniform and publicly-available tariff. SACP 3.0 imposes no restrictions on a motor carrier's ability to use chassis from the pool for MH moves by contracting directly with CCM (or to source and utilize chassis from outside of the pool). Thus, the issues raised in the complaint, namely choice and the restriction thereof, are not applicable in SACP 3.0 and the findings of the I.D. with respect to the Savannah market are rendered moot.

VI. **Proposed Schedule**

IMCC's Proposal:

For the reasons stated above, IMCC believes that no additional factual discovery is needed to support IMCC's motion to extend the Initial Decision's relief nationwide.

IMCC does not request an oral hearing.

Event	IMCC's Proposed Deadline
IMCC to File Initial Brief, Proposed Findings of Fact, and Appendix	6 weeks after Order
Respondents to File Opposition Brief, Responses to Proposed Findings of Fact, Proposed Findings of Fact, and Appendix	6 weeks after IMCC's Initial Brief
IMCC to File Reply Brief and Responses to Proposed Findings of Fact	3 weeks after Opposition

Respondents' Proposal:

Respondents believe that nothing further is required from the Presiding Officer or the Commission at this time. This is particularly true in light of the fact that essentially all prior findings have been rendered moot with respect to the four test markets and would make little sense as applied to others. The CCM pools are all in the process of final wind-down. As was already the case at the time of the I.D., trucker-provided wheels are prevalent (and frequently dominant) in most if not all markets in the country. In short, application of the I.D. to other locations without further discovery would involve grafting an extremely outdated and counterfactual picture of the chassis market as it perhaps existed in very specific locations at least three to five years ago. Engaging in the discovery necessary to analyze those markets would result in findings that, in fact, none of the assumption relied upon in the I.D. were or are true in other markets and therefore the I.D. would be rendered moot as to those locations. Thus, rather than needlessly expending further time and expense, Respondents believe the matter should be concluded.

Should the Presiding Officer disagree, Respondents submit that a briefing schedule at this time is premature. Given IMCC's request that the findings of the I.D. be expanded to all

geographic regions, IMCC should first be required to identify the specific ports and inland terminals to which the I.D. should apply and a schedule for conducting discovery with respect to each of those locations should be established.

As identification of these ports and terminals by IMCC has not been given, Respondents propose that a discovery schedule of 120 days be entered which will enable the parties to obtain documentary discovery and the conduct of fact depositions. It is anticipated that a significant amount of this discovery would require the issuance of subpoenas to non-parties to obtain documents and, potentially, testimony through depositions. Respondents will refine and likely propose revisions to this schedule, if and when IMCC identifies the ports and terminals to which the rulings in the I.D. should apply.

DATED: August 23, 2024

Respectfully submitted,

By: Wayne R. Rohde

Wayne R. Rohde

Christopher Raleigh

Kathryn Sobotta

COZEN O'CONNOR

1200 19th Street N.W., Suite #300

Washington, D.C. 20036

(202) 463-2507

Mark A. Rabinowitz

COZEN O'CONNOR

123 North Wacker Drive, Suite 1800

Chicago, IL 60606

(312) 382-3150

By: W. Stephen Cannon

W. Stephen Cannon

Seth D. Greenstein

Richard O. Levine

Allison F. Sheedy

J. Wyatt Fore

Janice Johnson

Osob M. Samantar

CONSTANTINE CANNON LLP

1001 Pennsylvania Avenue, NW

Suite 1300 N

Washington, DC 20004

Phone: 202-204-3500

scannon@constantinecannon.com

*Counsel for Respondents*¹²

¹² Other than Yang Ming Marine Transport Corporation.

By: Deana E. Rose
Deana E. Rose
MANELLI SELTER PLLC
1725 I Street NW.
Washington, D.C. 20006
(202) 261-1016

*Counsel for Respondent Yang Ming
Marine Transport Corporation*

Daniel Vitelli
CONSTANTINE CANNON LLP
6 East 43rd St., 26th Floor
New York, NY 10017
Phone: 212-350-2700
dvitelli@constantinecannon.com

*Attorneys for Complainant
Intermodal Motor Carriers Conference of the
American Trucking Associations*